

Annual General Meeting

Company Participants

- Jarrod Langhans, Chief Financial Officer
- John Fieldly, Chief Executive Officer
- Marcus Sandifer, VP of Business and Legal Affairs, General Counsel and Corporate Secretary
- Unidentified Speaker

Presentation

Marcus Sandifer {BIO 22405260 <GO>}

Good afternoon, ladies and gentlemen. I would like to welcome all of you to the 2022 Annual Meeting of Shareholders of Celsius Holdings, Inc. I am Marcus Sandifer, and I am the Vice President of Business and Legal Affairs, General Counsel and Secretary, and I will be moderating the meeting. We are conducting this meeting in a hybrid format, both in person here in the Boca Raton office center and via our online meeting portal.

At this time, we are calling the meeting to order. We are recording today's proceeding so that we can prepare a complete transcript for shareholders and employees unable to attend this meeting. With us today are members of the company's Board of Directors and Director nominees. We have John Fieldly, our Chief Executive Officer; Jarrod Langhans, our Chief Financial Officer. We have our Board of Directors, and we have representatives from Celsius senior management. A copy of today's agenda and the procedures we will follow have been made available to you either in person or via the online meeting portal.

Each of you should have registered as you enter the meeting today. If you would like to ask a question during the meeting, please raise your hand and wait to be recognized. If you are here in person or if you are attending via our online meeting portal, please click the ask a question box on the left-side of the screen. Type in your question and then press submit. We ask that any questions be related to the item that is under discussion at that time. Thank you for your cooperation.

As Secretary of the company, I will also be acting as Secretary of the meeting. The company's Board of Directors previously fixed April 30, 2022 as the record date for determining shareholders entitled to vote at this meeting. An affidavit was prepared by the Inspector of Elections attesting to the fact that the notice of meeting, the proxy statement, and the company's 2021 Annual Report to shareholders were mailed to all shareholders of record on or about April 22nd, 2022. A copy of such affidavit will be filed with the records of the company.

[ph]Emily Watson, our representative of Direct Transfer LLC, our transfer agent, has been appointed as the Inspector of Elections at this meeting. Ms. Watson is available and present via our online meeting portal. She has submitted a voting report that indicates the following. There were outstanding on the record date a total of 74,470,539 shares of the company's common stock. The holders of 65,371,884 shares of common stock are present at this meeting in person or by proxy. Therefore, since the holders of the record of majority of the issued and outstanding shares of common stock entitled to vote at this meeting are present in person or by proxy, a quorum is present and the meeting may now proceed. The polls for voting on each matter at this meeting will open when all of the proposals have been presented, and we'll close immediately after all votes have been collected. Now, I will discuss the presentation of the proposals.

The next order of business is description of the matters to be voted on at today's meeting. As stated in the company's proxy statement, the purpose of this meeting and matters to be voted on are as follows. First, the first proposal to be voted upon is the election of eight directors to serve until the next Annual Meeting of Shareholders, and until their successors are duly elected and qualified. Each of the nominee's qualifications are described in the company's proxy statement. Based on the recommendation of our Governance and Nominating Committee, the Board has nominated for election the following persons as Directors of the company, John Fieldly, Nick Castaldo, Hal Kravitz, Caroline Levy, Damon DeSantis, Cheryl Miller, Joyce Russell, and Alexandre Ruberti. The second proposal to be voted on is a ratification of Ernst & Young LLP to serve as the company's independent registered public accounting firm for the fiscal year ending December 31st, 2022. And the third and final proposal to be voted on is the advisory vote to approve the compensation for our named executive officers or say-on-pay. Finally, we will transact any other business that may properly come before the meeting, if any.

Are there any questions regarding the foregoing proposals? Now that we have reviewed the proposals to be voted upon, I hereby declare the polls are open for voting. Please remember that if you've already submitted your proxy vote or voted by Internet or telephone, your shares have been voted accordingly. Shareholders who have sent in proxies do not need to take any further action with respect to any of the matters to be voted on today. You do not need to vote today unless you are voting for the first time or want to change your previous vote. If you are present in person and would like a ballot, please raise your hand and one will be brought to you.

If you are attending via the online meeting portal and have not yet voted, you may do so by clicking the Vote My Shares box on your screen and follow the applicable instructions. We will now give these voting in person or online a moment to complete their votes. Okay, now we will collect any outstanding ballots or proxy cards from those who have voted in person at the meeting.

Please hold up your hands, so your vote may be collected. And while those votes are being collected, I will now go ahead and declare the polls closed. While we wait for the voting tabulation process to be completed, we will now have a presentation by

management regarding the operations of the company, followed by questions and answer period. The presentation will be conducted by our CEO, John Fieldly, and our CFO, Jarrod Langhans. John, you may present when you're ready.

John Fieldly {BIO 17560616 <GO>}

Thank you, Marcus, and thank you, everyone, for joining us today. I'm terribly sorry we're not able to attend in person. We did have a COVID outbreak, which I did come down positive, so for everyone's safety, we decided to do it remotely. But we do appreciate you joining us in person. We appreciate everyone joining on the call as well.

Next slide, please. Before we begin, I'd like to encourage everyone to read our safe harbor disclosure included in today's presentation.

Next slide, please. When we look at 2021, 2021 was a monumental year for the company. It was a foundational year. We continue to build upon and scale. We continue to transform each department for scale. We've made strides and really foundational moves for exponential growth that we see ahead in the future.

Revenues topped \$314 million. For the year, we're up 140%. We saw great expansion and great velocity increases at retail in North America with revenues topping \$273 million, up 186%. We continue to build out and solidify our national DSD network, which now covers approximately 98% of the population. We'll talk more about that on the next few slides.

In addition, we saw our fitness and vending channel come back post-pandemic. When you see -- we see great opportunities in fitness and vending as well, but it was great to see this channel really recover in 2021 where fitness continues to be key and core to us as well as a great point to really bring and (inaudible) new consumers into the portfolio. And with customers and with individuals going back to work, we're seeing great opportunities in the vending channel, especially in the micro markets, that we're seeing great growth prior to the pandemic.

International revenues grew approximately 17% to \$41 million. We saw great gross profits of record \$128 million, up 111%. Our net income came in at \$3.9 million. It's associated with the non-cash expenses during the year. Adjusted EBITDA came in at 33.5%, which is a record for the company, up about 112% versus the prior year. So all around, it was a great year for the company, and which put us in great position as we enter 2022.

Next slide, please. Talking about 2022, we entered 2022 in the first quarter, we saw great momentum continually. If you look on a quarterly basis, over the last several quarters, we continue to see increased velocity, we've seen great scan data, Nielsen and IRI data continue to show positive growth. We had generated revenues of \$133 million in the quarter, up 167%. Domestic revenues continue to grow over 270% to \$123 million, really driven by continued expansion in SKUs, better placements at store, the activation of that distribution network that we've been working on over the

years, really seen that come to fruition as we're able to keep Celsius in stock and gain secondary and third placements in retail. We'll talk more about that later.

International revenues did see a decrease of about 10%, came in roughly around \$10 million as a result of timing of promotions as well as some supply chain disruptions that we're experiencing in Europe. And when you look at other international markets, total was about \$1.4 million, mainly coming out of Asia as well as included in our royalty revenues from China.

Gross profit hit a record for the quarter at \$53.9 million, up 162%. Margins came in at 40.4%. We've talked about the importing of international cans over the last several quarters. We do have an inventory in stock of international cans we will be cycling through. And as we indicated on our last earnings call, we anticipate to cycle through our international cans by the end of the third quarter and get to more normalized gross profit levels in the fourth quarter based on channel mix and pack size mix.

And we expect to get right around that mid-40 range is what we're talking about on the last earnings call. We still anticipate that in the fourth quarter to materialize. Net income came in at \$66.2 million and adjusted EBITDA came in at \$14.8 million for the quarter. So really was a great first quarter and a great way to enter the year.

Next slide, please. When you look at our portfolio, we're really excited about our portfolio. Our core portfolio is capitalizing on today's health and wellness trends. We've been talking about these trends for several years and they continue to get stronger. And the trend we're going after today is a megatrend. It is a -- health and wellness trends have gone global, they get stronger each and every day. You're seeing that in the fitness channel, you've seen that in a variety of other channels, every day of our lives, health and wellness. And that's what's healthy stands for. It's live fit, live healthy, live life, and we'll provide that essential energy for life.

Next slide, please. When you look at our portfolio, we continue to expand our portfolio with great innovative flavors, flavor combinations that consumers want. Looking at our core portfolio today, it's over 15 great flavors. We just most recently in 2021 expanded our Vibe line to an Arctic Vibe. It's a great-tasting frozen berry flavor. We're seeing our Vibe line to really allow us to further penetrate the traditional convenience channel.

When you look at where those sales are generated, that is in the convenience channel where 70% of energy drinks are sold. We see a lot of opportunity where our Celsius Vibe line, which is little bit more inviting to further penetrate that channel and take more share of the category, and initial scan data is extremely positive.

If you look at the other core flavors, we have great innovative flavors or fruit forward designs, most recently our Strawberry Lemonade was launched this year for summer flavor. I encourage everyone to try it. It tastes amazing, probably the most refreshing

energy drink on the market I'm being told. We're really excited about the opportunity with that flavor.

Also, when we look at our Mango Passionfruit we launched this year in 7-Eleven, it was one of our most successful launches. So really excited about the innovation team. And the way the team -- marketing team as well really bringing the flavor forward combinations with experiential marketing driven through with our sales execution through our distribution network is able to drive trial and awareness and routine customers. So excited about that. Also, when you look at our Sweetened with Stevia line, it does extremely well. Sprouts and Fresh Market, we do see a lot of opportunities there. And also, our Celsius On-The-Go sticks is a great opportunity for people to take Celsius anywhere.

Next slide, please. When you look outside of our core portfolio, we do have our Celsius Heat line. Seven great flavors. It has L-citrulline and has caffeine, really will power you through your workout. Mainly sold today in the vitamin specialty and fitness locations, but we do see opportunities that lie ahead. Once we solidify our core lines, we will bring in our adjacent lines, and our adjacent portfolio to go after those categories. In addition, we have our Celsius BCAA anytime recovery product and our Celsius On-The-Go sticks.

Next slide, please. When you look at our distribution in North America, we have over 288 distributors. We solidify that in 2021. 2022 is the year of optimization and execution. And what we see with our distribution network which we built, which is a great asset for the company, it improves our in-store execution. It also improves our SKU count at retail, getting us off to dry shelf, into incremental displays, and also into cold placements, which improves our overall velocity rates and also our distribution network, because we're able to service more regional chains and independents now increases our ACV or distribution opportunities, which adds more ROI to our investments and marketing programs (inaudible) region or area. And also, it saves costs because without our DSD network, we wouldn't be able to service these smaller regional chains, increasing the overall ACV and the opportunity we see.

Next slide, please. When you look at our routes to market, what we're seeing is a great opportunity in all routes to market. One route to market -- or one channel of trade, which I think is quite interesting which we started to test in 2021 was the club channel. We started to test in the club channel in Costco, and we had great success. They rolled this out to nationwide in the fourth quarter, and you're seeing the first quarter results as well, which includes a full quarter of Costco, as well as initial orders for Sam's Club, which has most recently rolled this out. And we are testing in BJ's. We do you see the club channel on a go-forward basis being material part of our business throughout 2022 and beyond, and great opportunities that lie ahead.

In addition to that, our mass channel with Target and Walmart. We continue to optimize and see increased growth in velocity levels. And the natural channel, we continue to see opportunities at Sprouts and Fresh Market. Amazon, we have reached the number two energy drink in the category, with lots of opportunities to further optimize walmart.com.

The fitness channel, with health and wellness megatrends ahead of us, we see opportunities to further grow and further expand in this channel and further partner with all of our key partners. The grocery, convenience store channel is a great opportunity for us as we leverage DSD, gain incremental displays, and cooler placements. We have lots of opportunities. In addition, we launched -- most recently launched a variety pack, which has initially showed great velocity levels in this channel.

Looking at vending, I talked about the opportunities that lie ahead with people returning back to office buildings, micro markets, and vending. The military has been a great success for us as well. And the drug channel. With CVS' success and Rite Aid opens the opportunity for Walgreens in the future.

And the convenience channel is the biggest opportunity we see ahead. When we look at the opportunity of new distribution and really going after with largest energy drink sales are sold. What we've seen at 7-Eleven and Racetrack, Speedway, just to name a few, we can compete at the same level if not better than the leading brands.

Next slide, please. Looking at placements, placements are critical. Without a national DSD network, we wouldn't be able to take advantage of the opportunities we see ahead. With that, with Celsius very diversified and versatile product, we're able to play, not only in ambient, we're able to play in health and beauty, next to protein, next to sports nutrition, but also on the cold checkout next to traditional energy where we see our greatest opportunities.

Next slide, please. When you look at performance versus the category, Celsius is continue to outperform. We're outpacing the category growth according to latest Nielsen data as of April 9th, 2022, and we're outpacing by 20%. In addition, we reached a 4.1 share in the category. When looking at the most recent data, looking at the growth in the category, Celsius is contributing to the growth in the category by 37%.

In addition, we expanded our latest store count to over 140,000 locations and we've increased our convenience channel penetration to over 63,000 doors. I talked about Amazon being the number two energy drink with an 18.2 share. In addition, the opportunities on further optimizing our DSD network is our focus. The club channel now totals 1,100 locations and generated \$23 million in incremental revenue in the first quarter of 2022. The company continues to maintain its focus on gaining cold placements, and in the quarter, we placed over 700 coolers in the first quarter 2022 with our total cooler count now totaling 1,900 since we began this initiative in 2021. We currently have over 1,000 coolers placed on order, which we anticipate to continue to place a checkout in key retailers around the country.

Next slide, please. Looking at the global opportunity we see, the North American trends we're seeing today are not just in North America, it's a global megatrend, health and wellness this year. And we continue to see great opportunities to capitalize that in other end markets around the globe. And Asia, as an example, we

continue to scale with our licensing royalty model in China. We further expanded, Hong Kong, Malaysia, and South Korea, and see opportunities now also in Australia.

We are currently talking to other distributors for other opportunities we see ahead in other markets. In Europe, we're mainly sold in the Nordics today, mainly sold -- most of the revenues coming from Sweden. We have continued to gain momentum in Finland, and see opportunities in Norway, and also in other markets throughout Europe. Most recently, we expanded our distribution on Amazon in the UK and in Germany, and see great opportunities to further scale and grow throughout the region.

Next slide, please. With that, I'll now turn the call back over to Jarrod for our financial review. Thank you.

Jarrod Langhans {BIO 18706067 <GO>}

Thank you, John, and good afternoon, everyone. Turning to Slide 23, the financial performance. For 2021, our annual revenues exceeded over \$300 million, as John noted earlier. It's a great accomplishment for the team. We saw great penetration in the convenience channel where we grew our store locations by over 95%, while at the same time driving the club channel revenue and we grew Amazon revenue to new records for the company. This expansion in historically underrepresented channels for Celsius in convenience and club has not impacted growth in other channels.

Turning to the next slide, Slide 24, or our Q1 2022 snapshot. Our first quarter revenue for the three months ended March 31st, 2022 was approximately \$133 million, an increase of \$83 million or, 167% from \$50 million in the prior year. As expected, the growth was driven by our North American operations where first quarter revenues were \$124 million, an increase of \$85 million or 217% from the prior-year quarter.

The total increase in revenue was largely attributable to increases in sales volume as opposed to increases in product pricing. The primary factors behind the increase in North American sales volume were related to continued strong triple-digit growth in traditional distribution channels, combined with an increase in optimization of our products presence in world-class retailers, such as SKU additions, cold placement, and end-cap displays. Additionally, the continued expansion of our DSD network resulted in significant growth of 395% in distributor revenue when compared to the prior-year quarter.

Turning to gross profit, gross profit for the first quarter increased by approximately \$33 million or 162% to \$54 million. Gross profit margins decreased slightly to 40.4% for the quarter from 41.1% in the prior-year quarter. As John noted, the increase in gross profit dollars is related to increases in volume, while the decrease in gross profit margin is mainly related to higher raw material costs, customer mix, and inflation across our supply chain.

Net income for the three months ended March 31st was \$6.7 million or \$0.09 per share based on a weighted average of 75.2 million shares outstanding and dilutive earnings per share of \$0.09 based on a fully diluted weighted average of 78.3 million shares outstanding. In comparison, for the three months ended March 31st, 2021, the company had net income of approximately \$600,000 or \$0.01 per share based on a weighted average of 72.5 million shares outstanding. And a dilutive earnings per share of \$0.01 based on fully diluted weighted average of 76.9 million shares outstanding.

With that said, I'll now turn the call over to Q&A. Thank you.

Questions And Answers

A - John Fieldly {BIO 17560616 <GO>}

All right, thank you. Thank you, Jarrod. Appreciate that. We'll now open the call for questions. Just as a reminder, on the right-hand side of your screens, for those that are remote, you're able to type in a question, we'll go ahead and pick that up. We do have one question coming in.

In regards to international initiatives, what are some of the real interests in the next 12 months?

When you look at international, as I mentioned, we see great opportunities in international markets, not only in Asia, but also Europe. With the success in Sweden, we're currently talking to a variety -- with the success in the US as well as Sweden, we're talking to a variety of different distributors. Our path forward, when you look at it, we want to be very incremental, we want to be very cognizant of entering new markets. We've said we're driving profitable growth, we said that several years. We're really focused on that. We need to make sure we have the right partnership and the right structure in place on entering new markets. Right now, if you look back on where we've been in Europe, we entered Finland and Norway. Now, working -- partnering with Amazon, we're entering the UK and Germany. And we're looking for a partner now to help us further scale on the ground there, so -- in a profitable manner. So those are the things we're looking at. We're talking to some key partners, and we'll share as more news comes available. And then when you look at Asia opportunities, there's opportunities. We've been selling in Australia through a fitness distributor. We're talking with some local distributors to help us further scale there.

Also, in 2021, we found a great partner in South Korea, where we've been selling product and getting traction. So there's a lot of great markets available. We're also looking at Japan, a variety of other markets where we're talking to some great partners there. But it's timing and sequencing, and also making sure we have the right algorithm and cost structure and investment thesis on entering forward. Our main focus today is on North America and (inaudible) that we see ahead, so.

If anyone have any additional questions, please (inaudible) poll one more time for questions. And if you're live, please direct questions to [ph]Daniel. We wait one more

second. Thank you, everyone. I'll turn it back over to Marcus.

A - Marcus Sandifer {BIO 22405260 <GO>}

Thank you, John. We have been informed by the Inspector of Elections that the proxies and the ballots have been counted. I will now call upon Emily Watson, our Inspector of Elections, to give her report. Emily?

A - Unidentified Speaker

As Inspector of Elections, I am pleased to report the results of the voting are as follows. All of the nominees for election of the Board of Directors have been elected. The appointment of Ernst & Young LLP as the company's independent registered public accounting firm for the year ending December 31st, 2022 has been ratified. And the advisory vote to approve the compensation of the named executive officers was approved.

A - Marcus Sandifer {BIO 22405260 <GO>}

Thank you for the results tabulation, Emily. There being no further business to come before the meeting, the Annual Meeting is now officially adjourned. The company's officers and Directors would like to express their appreciation to the shareholders who attended this meeting, whether in person or via online meeting portal, as well as those who submitted their proxies, but were not able to be in person.

Thank you, all, and have a good afternoon.

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